

This change from a *C* to a *B* company is, for example, exactly what happened during the 1956–1957 period in the case of Ampex. As the company tripled in size and profits rose even faster, and as the market for its magnetic recorders and the components thereof broadened into more and more growth industries, this company grew in intrinsic strength to a point where it could be classified in the *B* group. It no longer carried with it the element of extreme investment risk. When this point had been reached, a considerably larger percentage of total investment might be held in Ampex without violating principles of prudent diversification.

All the above percentages represent merely a minimum or prudent standard of diversification. Going below this limit is a bit like driving an automobile above normal speeds. A driver doing this may get where he wants to go sooner than he otherwise would. However, he should keep in mind that he is driving at a rate requiring extra alertness and vigilance. Forgetting this, he may not only fail to arrive at his destination more quickly—he may never get there at all.

How about the other side of the coin? Is there any reason an investor should not have more diversification than something resembling the minimum amounts mentioned? There is no reason whatsoever, as long as the additional holdings are ones which appear equivalent in attractiveness to this minimum number of holdings in regard to two matters. These additional securities should be equivalent to the other holdings in regard to the degree of growth which appears attainable in relation to the risks involved. They should also be equivalent in regard to the investor's ability to keep in touch with and follow his investment, once he has made it. However, practical investors usually learn their problem is finding enough outstanding investments, rather than choosing among too many. The occasional investor who does find more such unusual companies than he really needs seldom has the time to keep in close enough touch with all additional corporations.

Usually a very long list of securities is not a sign of the brilliant investor, but of one who is unsure of himself. If the investor owns stock in so many companies that he cannot keep in touch with their managements directly or indirectly, he is rather sure to end up in worse shape than if he had owned stock in too few companies. An investor should always realize that some mistakes are going to be made and that he should have sufficient